Mexico Real Estate Investment Guide

A comprehensive guide to property ownership, legal structures, and investment strategies for foreign investors in Mexico's premier real estate markets.



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Legal Structures for Foreign Ownership

Mexico offers two secure pathways for foreign investors to acquire prime real estate, particularly within the restricted zone (50km from coast, 100km from borders).

Fideicomiso (Trust)

Bank-held trust where you maintain complete control as beneficiary. Ideal for residential purchases. Initial setup: $1,500 USD + $500 registration. Annual fees: $500-$600 USD. Trust duration: 50 years, renewable.

Mexican Corporation

Establish a Mexican entity for business operations or commercial investments. Setup cost: ~$1,500 USD. Monthly accounting: ~$100 USD. Monthly and annual tax filings required.

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Key Transaction Participants

Four specialized parties ensure transaction integrity and protect your investment throughout the acquisition process.



Real Estate Company

Your primary guide through market analysis, property selection, and negotiation strategy. Provides local expertise and market intelligence.



Buyer's Attorney

Independent legal counsel representing your exclusive interests. Conducts due diligence, reviews contracts, ensures title certainty.



Notario Publico

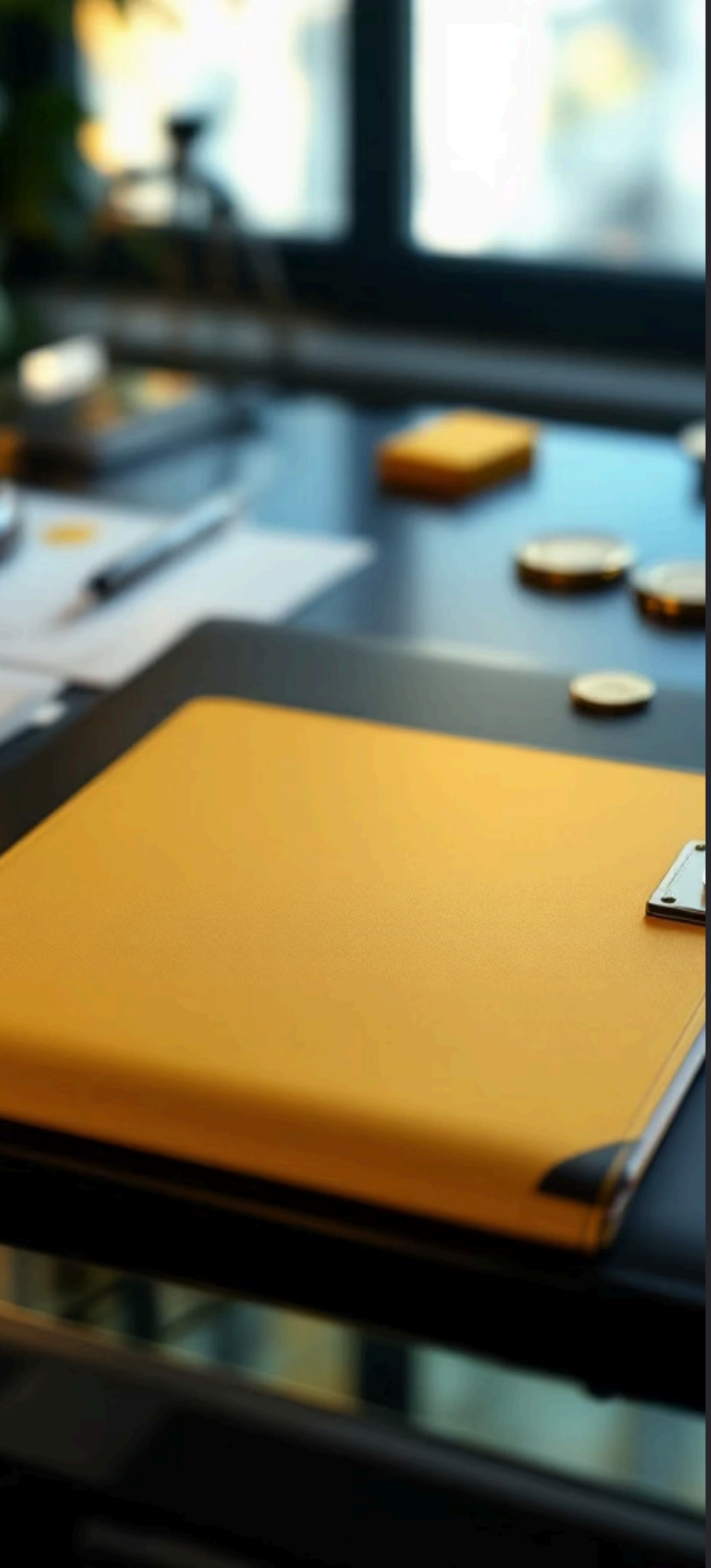
Federally-certified attorney serving as official government representative. Authenticates documents, calculates capital gains, ratifies all transactions.



Trust Bank

Creates and administers the fideicomiso. Ensures legal compliance and holds title on your behalf. Major international banks available.

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Investment Security Framework

Government Expropriation

Mexican law prohibits direct or indirect property seizure except for public infrastructure projects (roads, utilities). Any expropriation requires legal condemnation proceedings with **swift, fair market compensation plus accrued interest**.

Title Insurance

Not standard in Mexico but available through international insurers. Residential policies: $500-$900 USD. Commercial/hotel: $10,000-$50,000 USD. Preliminary title search: $1,500-$1,800 USD.

0.1%

Annual Property Tax

One tenth of one percent of assessed value

30%

Capital Gains Rate

Applied to profit from sale, typically reduced to 5-10% with deductions

30%

IRA Investment

Approximately 30% of buyers use retirement accounts for Mexican real estate

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Property Classification & Rights

Ejido Land

Historically granted to tribal members for agricultural use. Ejidatarios have secured formal titles for much of this land. **Purchase only titled Ejido property** to avoid legal complications.

Coastal Rights

All Mexican beaches owned by federal government. Public access guaranteed anywhere along coastline. No private ownership of beachfront zone.

Measurement Standards

1 hectare = 10,000 m^2 (100×100m). 1 m^2 = 10.76 ft^2.
1 linear meter = 3.3 linear feet. Metric system standard for all property documentation.



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Acquisition Process Roadmap

Initial Consultation

Realtor schedules conference with English-speaking Mexican attorney. Address questions on title, taxes, and legal structure.

Offer to Purchase

Prepare OTP outlining price and terms. Submit with good faith deposit held by attorney's trust account.

Negotiation

Counter offers and negotiations until mutual agreement on price and transaction terms.

Good Faith Deposit

Deposit 30-40% of purchase price into attorney's trust account. Takes property off market upon seller acceptance.

Sales Contract

Attorney drafts Promise to Purchase Agreement. Title research and bank trust setup initiated.

Closing

Notary schedules closing. Final payment, title transfer, trust establishment completed.

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Transaction Economics

Closing Costs Overview

Cash purchases: 5-7% of sale price

Financed purchases: 7-10% of sale price



Buyer's Fees

- 2% acquisition fee
- 1% recording fee
- 1% notary fee
- $3,000 USD attorney fee

Trust Fees (option 1)

- $1,500 USD setup
- $500 USD registration
- $500 - $600 USD annual

Corporation Fees (option 2)

- $1,500 USD setup
- $100 USD monthly accounting

Remote Closing Option: Provide limited Power of Attorney for closing, notarized and apostilled at Secretary of State. Canadians visit Mexican Embassy or Consulate.

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Financing & Banking Infrastructure

IRA/401K Investment

Most IRAs and some 401K plans eligible for Mexican real estate. Preferred by 30% of buyers due to high asset appreciation potential and pre-allocated investment capital.

Mortgage Options

Financing available through Mexican banks. Closing costs increase to 7-10% of purchase price. MOXI offers competitive interest rates for qualified buyers. *(check details in the other PDF)*

Banking Requirements

Valid passport or driver's license plus proof of address required. Dollar accounts available for US/Canadian citizens or corporations. Articles of incorporation needed for corporate accounts.

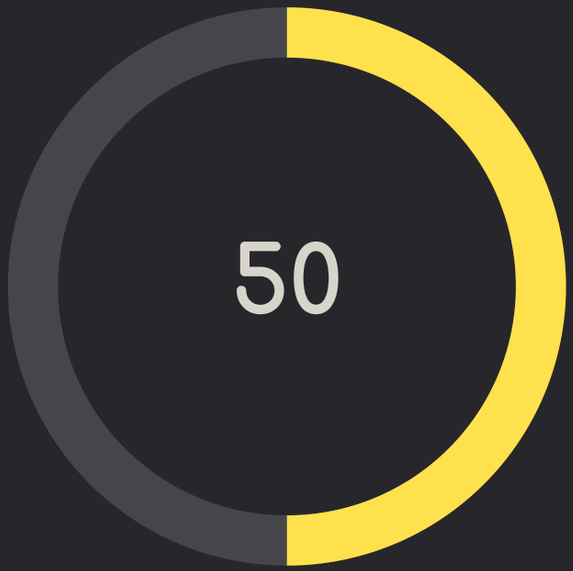
Leading Mexican Banks

- Banamex (Citibank)
- BBVA Bancomer
- Banorte
- HSBC
- Santander
- Scotia Bank



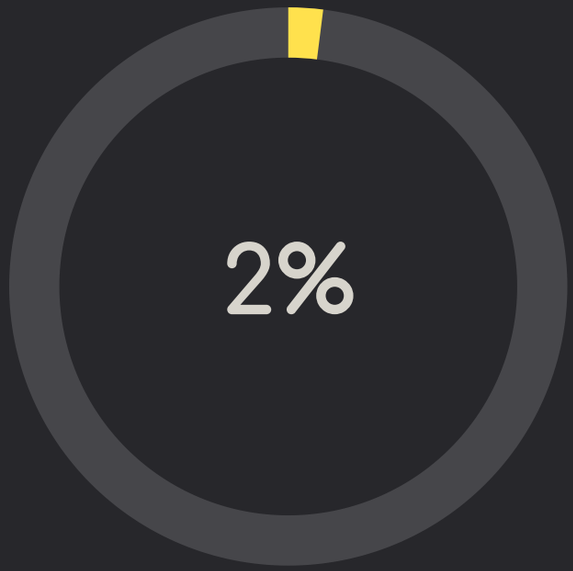
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Strategic Investment Considerations



Year Trust Term

Renewable for additional 50 years



Monthly Tax Withholding

On deposits over $20,000 pesos (~$1,100 USD)



Restricted Zone (km)

From borders and 50km from coast

Asset Appreciation Factors

- Strategic infrastructure development
- Tourism sector expansion
- Foreign investment incentives
- Restricted zone accessibility

Title Certainty Protocols

- Notario Publico verification
- Attorney due diligence
- Title insurance option
- Public registry search

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Your Investment Journey Starts Here

Expert Guidance

Experienced real estate professionals specializing in foreign investment transactions throughout Mexico's premier markets.

Legal Protection

Independent attorney representation ensuring title certainty and transaction integrity at every stage.

Asset Appreciation

Strategic property acquisition in high-growth corridors with proven track record of value appreciation.

Contact Information

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